July 13, 2026 06:13 AM GMT

Investor Presentation | Japan

IT & Software: AI-Driven and AI-Native Development Accelerate IT Service Company Efficiency: AI-Driven Margin Improvement Begins

MORGAN STANLEY MUFG SECURITIES CO., LTD.+

Tetsuro Tsusaka, CFA
Equity Analyst
Tetsuro.Tsusaka@morganstanleymufg.com +81 3 6836-8412

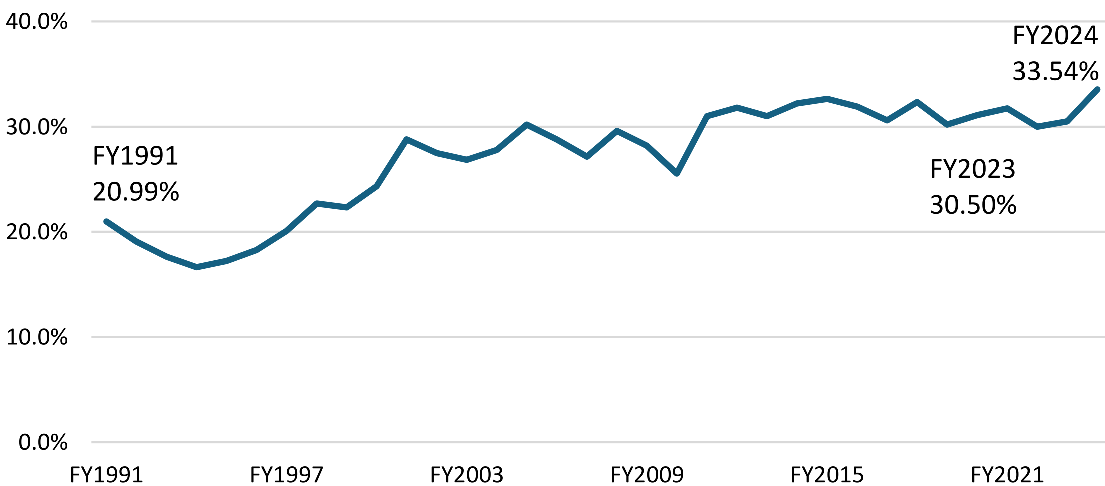
Luyuan Yang, CFA
Equity Analyst
Luyuan.Yang@morganstanleymufg.com +81 3 6836-8423

Keiji Nishimura
Research Associate
Keiji.Nishimura@morganstanleymufg.com +81 3 6836-8424

IT & SOFTWARE
Japan
Industry View **In-Line**

- We believe prime IT contractors can structurally reduce outsourcing costs, which equate to 31–40% of sales, creating realistic scope for OPM to improve by 5–10ppt from the current 10–20% range.
- Examples such as Fujitsu's "100x productivity," NTT DATA's 70% reduction, and NEC's 99% reduction initiatives suggest that productivity gains across the entire development process could accelerate insourcing.
- That said, converting these benefits into profit will require a shift in pricing models from "person-month" to value-based pricing. Companies' ability to manage pricing pressure, upfront AI investment costs, and organizational inertia will determine future profitability gaps.

Exhibit 1: Outsourcing Cost Ratio to Revenue



Source: JISA "Basic Statistical Survey of Information Technology Services Industry", Morgan Stanley Research

Top-Tier Companies Accelerating Company-Wide AI-Driven Development at Increasing Pace: Various Case Studies Illustrate Future of IT and Software Industry

- The four leading SIers apply AI-driven development across the entire software development lifecycle, accelerating the transformation of the traditional "person-month × effort" model.
  - Fujitsu demonstrated a 100-fold productivity gain and is shifting to value-based pricing.
  - NEC aims to make BluStellar fully AI-enabled and has demonstrated greater efficiency in system development.
  - NRI advances a roadmap to achieve a 100% adoption rate for AI-driven development by FY2028 and a 100% deployment rate for fully autonomous AI agents by FY2030, while also promoting an LLM specialized for financial services.
  - NTT Data targets a 70% reduction in development processes by 2030 through a three-stage maturity model.
- The common theme is an irreversible structural shift that places AI at the center of development and changes the human role from "implementer" to "supervisor of AI and accountable decision-maker."

Exhibit 2: Changes in Engineer Roles

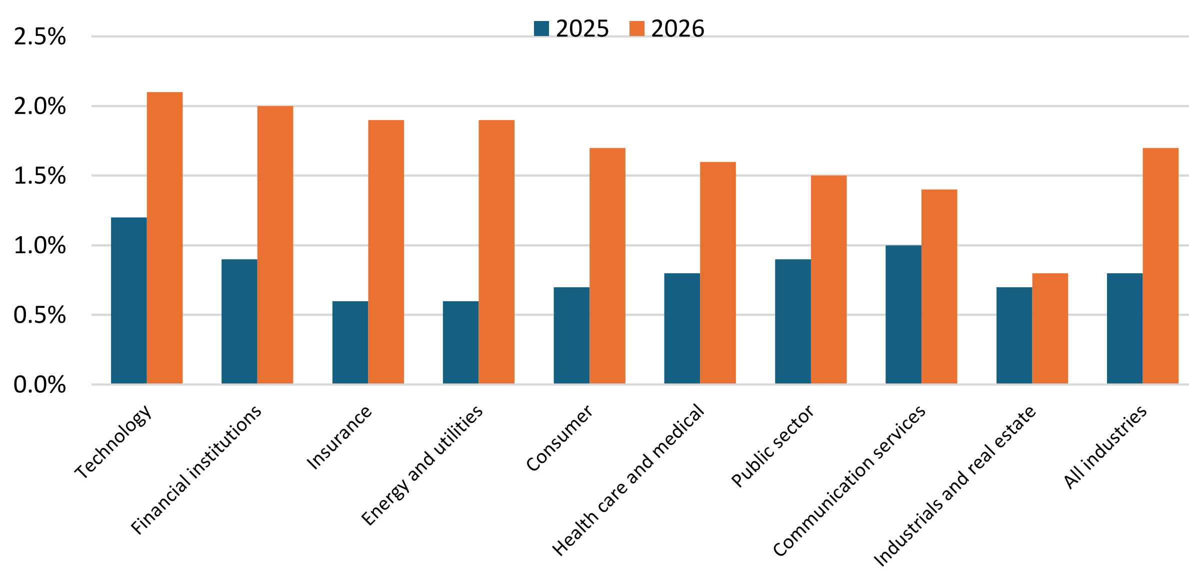
Traditional Role	New Role in the AI Era	Shift in Required Skills
Coder	AI Prompt Engineer	Programming → Ability to articulate requirements in natural language
Unit Tester	AI Reviewer	Test execution → Quality judgment of AI outputs
SE (System Engineer)	AI Architect	Writing design documents → AI-Ready Engineering design
PM (Project Manager)	AI Orchestrator	Process management → Integration & optimization of AI agents
Subcontracted Programmer	(Risk of reduction / elimination)	Routine coding → Replaced by AI

Source: Morgan Stanley Research

From Pilot to Scaling: Resolution of AI Implementation Bottlenecks Opens Next Growth Area for IT Services

- Corporate appetite for AI investment stands at a record high, but only a small number of companies have reached full-scale deployment.
- Although 88% use AI regularly and 72% of CEOs serve as the final decision-maker, roughly two-thirds remain at the pilot stage (McKinsey). Only 1% have reached the “mature” stage (Deloitte), and just 19% have demonstrated ROI.
- The main bottlenecks are underdeveloped data foundations (63%: Gartner), a lack of business-process redesign (66%: Deloitte), shortages of AI talent, and the difficulty of organizational transformation reflected in BCG’s “10-20-70 rule.”
- In Japan, reliance on SIers, legacy systems, and a culture with little tolerance for failure create additional barriers. Only 13% of Japanese companies report that AI outcomes exceeded expectations, versus 51% in the United States, and Japan’s enterprise-wide deployment rate of 8.9% ranks last among five countries (PwC).
- The competitive gap in AI now depends not on whether a company has adopted AI, but on its ability to move from pilot programs to scaled deployment.

Exhibit 3: Investment in AI as share of annual revenue



Source: BCG AI Radar 2026 Survey, Morgan Stanley Research

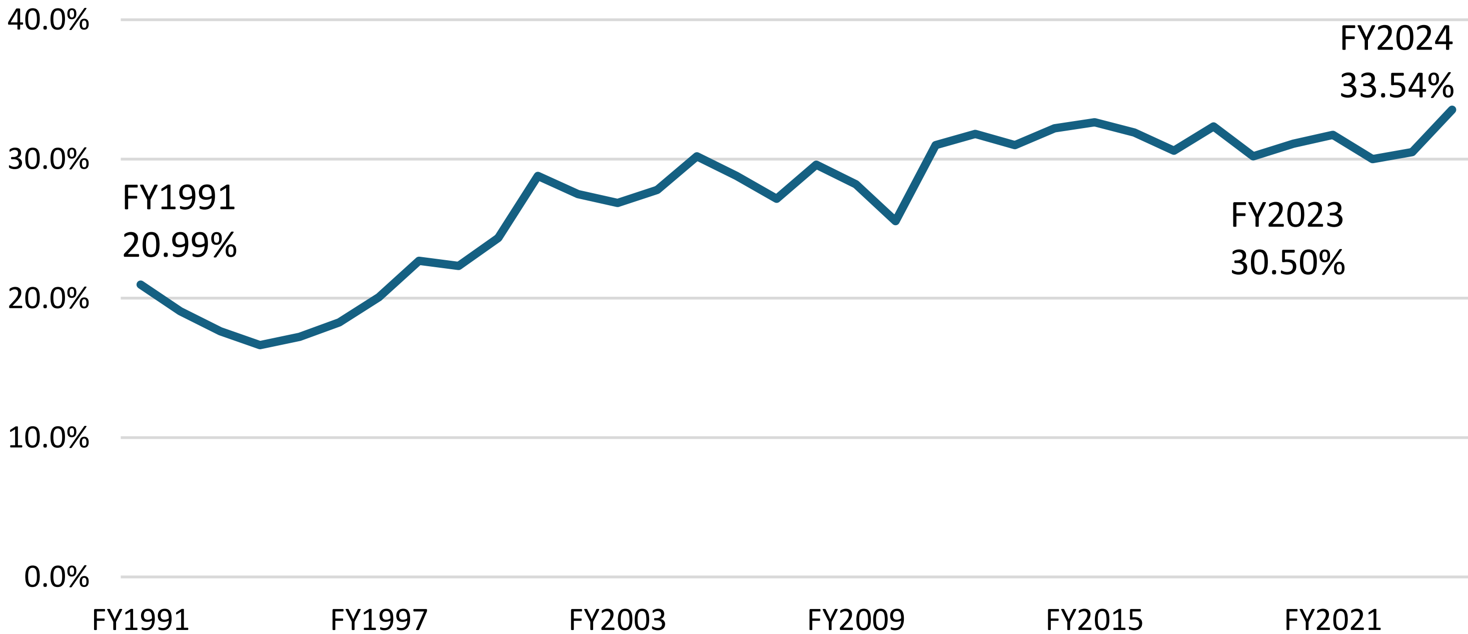
AI-Driven and AI-Native Development Accelerate IT Service Company Efficiency: AI-Driven Margin Improvement Begins

- A structural reduction in outsourcing costs through AI-driven development could lift prime contractors' operating profit margins by roughly 10 percentage points from the current 10–20% range. This potential stems from the scale of outsourcing costs, which account for approximately 30% of revenue.
- Leading SIers have significantly improved productivity across the full development lifecycle—from requirements definition and design to implementation, testing, operations, and maintenance—making it feasible to bring previously outsourced work in-house.
- The key to sustainable margin improvement is a shift in pricing from "person-months" to "customer value." However, three barriers remain: pressure to pass savings on to customers, upfront investment costs, and organizational inertia. A company's ability to address these barriers will determine profitability differences across the industry.

Outsourcing Cost Ratio to Revenue

- The information services industry's outsourcing-cost-to-sales ratio has risen steadily from approximately 20% in FY1991 to 33.5% on a weighted-average basis in FY2024.
- This exceeds the personnel-cost-to-sales ratio of 27.3% for the same year by more than six percentage points, making outsourcing the largest cost category for information services companies.

Exhibit 4: Outsourcing Cost Ratio to Revenue

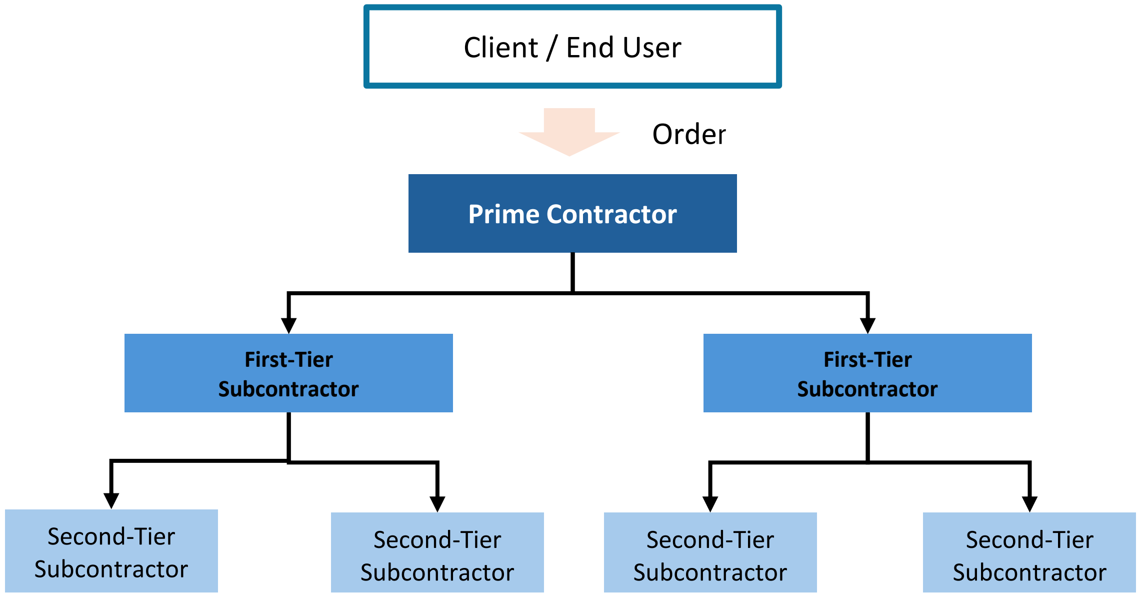


Source: JISA "Basic Statistical Survey of Information Technology Services Industry", Morgan Stanley Research

Multi-Tier Subcontracting Structure

- Most outsourcing expenditures flow out through Japan's multilayer subcontracting structure.
- The industry relies on a multilayer subcontracting structure—the "general contractor model"—that can extend to as many as six tiers.
- Although 87% of contract software developers act as prime contractors, 56.7% also receive work as subcontractors, creating a multilayered industry pyramid.

Exhibit 5: Multi-Tier Subcontracting Structure

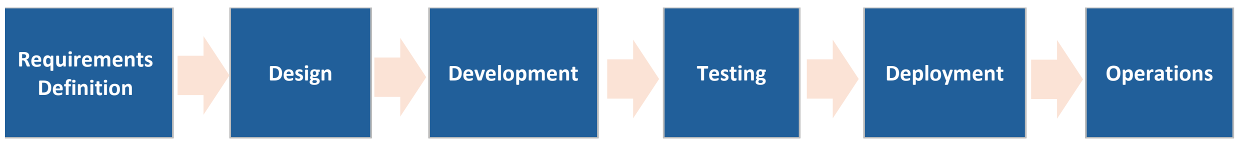


Source: Morgan Stanley Research

Major Slers Drive Significant Productivity Improvement across Entire Development Process, from Requirements Definition and Design to Implementation, Testing, and Operations/Maintenance, through AI-Driven Development

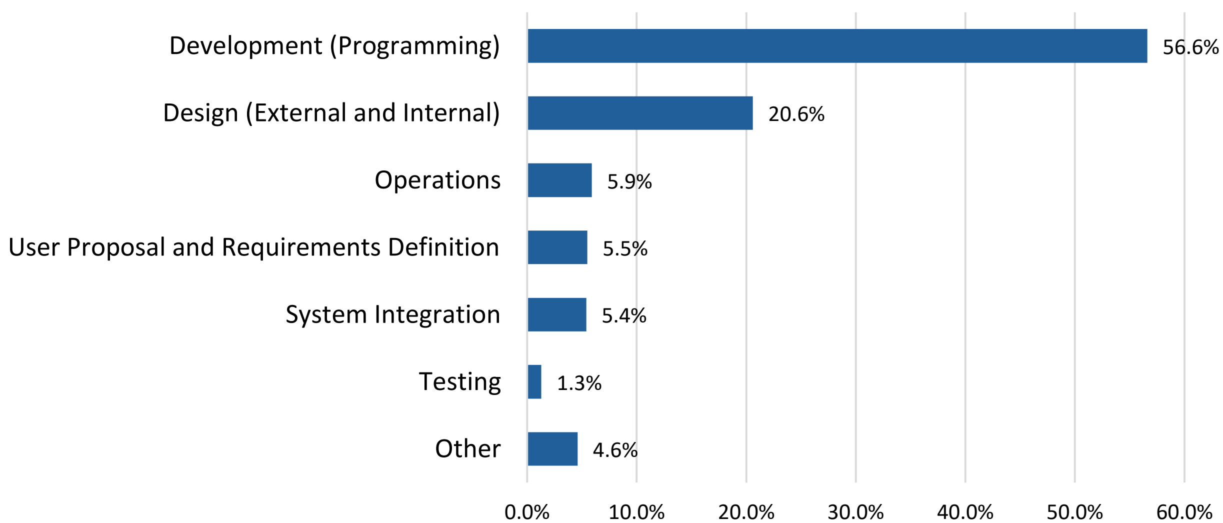
- Bringing work that was traditionally assigned to subcontractors in-house has become feasible.

Exhibit 6: Software Development Process



Source: Morgan Stanley Research

Exhibit 7: Processes Often Handled as Subcontracted Work in Software Development



Source: Japan Fair Trade Commission "Report on the Survey of Subcontracting Transactions in the Software Industry", Morgan Stanley Research

Top-Tier Companies Accelerating Company-Wide AI-Driven Development at Increasing Pace: Various Case Studies Illustrate Future of IT and Software Industry

- Major SIers in the IT and software industry apply AI-driven and AI-native development across their own development processes. They are dismantling the traditional “person-month × effort” business model while pursuing both step-change productivity gains and a transformation of their profit structure.
- AI-driven development places AI at the core of the entire development lifecycle—from requirements definition and design to implementation, testing, operations, and maintenance—and allows multiple AI agents to execute development tasks autonomously.
- It redesigns the conventional human-centered development environment into a structure that AI can process directly.
- The human role shifts fundamentally from “an implementer who writes code” to “a professional responsible for directing and supervising AI and ensuring accountability.”

Exhibit 8: Changes in Engineer Roles

Traditional Role	New Role in the AI Era	Shift in Required Skills
Coder	AI Prompt Engineer	Programming → Ability to articulate requirements in natural language
Unit Tester	AI Reviewer	Test execution → Quality judgment of AI outputs
SE (System Engineer)	AI Architect	Writing design documents → AI-Ready Engineering design
PM (Project Manager)	AI Orchestrator	Process management → Integration & optimization of AI agents
Subcontracted Programmer	(Risk of reduction / elimination)	Routine coding → Replaced by AI

Source: Morgan Stanley Research

AI-Driven and AI-Native Development across the Entire Development Process at 4 Major SIers

- Fujitsu: Automation of the entire development process through a multi-AI-agent platform.
- NEC: Declaration of an “AI Native Company.”
- NRI: AI-driven development as the core of production innovation.
- NTT DATA: Theory and practice of AI-native development—targets a 70% reduction across the development process by 2030 through phased expansion of automation.

Exhibit 9: AI Strategies of Major SIers

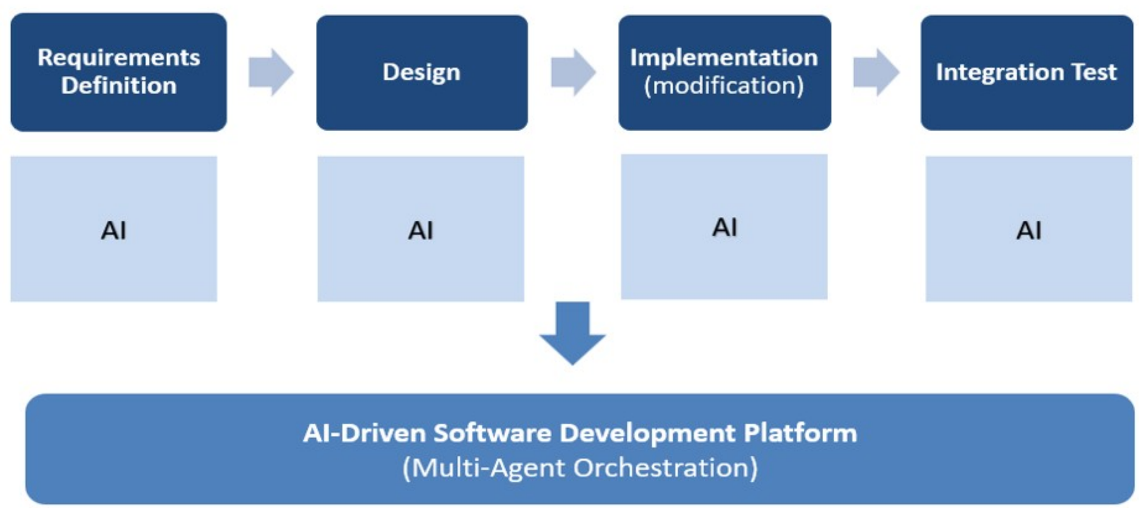
Company	AI Strategy	Results	Target around 2030	Differentiation
Fujitsu	AI-driven development + proprietary LLM 'Takane'	3 person-months → 4 hours (100x productivity)	Transition to value-based pricing model	Proprietary LLM + application across 6 packages
NEC	Full-scale AI transformation with BluStellar	6,500 hours → 53 hours (99% reduction)	Revenue 1.3 trillion yen, OPM 25%	cotomi(LLM)+ other companies’ LLMs
NRI	100% adoption of AI-driven development	AI-related revenue >10x in 3 years	2028: 100% AI-driven / 2030: Fully autonomous AI 100%	Finance-specialized LLM 'YUI AI'
NTT Data	AI-native development maturity model	70% reduction in code transformation effort	70% reduction across entire development process	External offering based on LITRON platform

Source: Company data, Morgan Stanley Research

Fujitsu: Automating Entire Development Process Through Multi-AI-Agent Platform; Shifting Pricing Model From "Person-Month" to Value-Based Pricing

- Fujitsu announced its "AI-Driven Software Development Platform," which automates the full process from requirements definition through integration testing with a multi-AI-agent platform centered on its proprietary LLM, Takane. Takane specializes in understanding Japanese legal documents and source code.
- Multiple AI agents autonomously hand off tasks in relay fashion, including interpreting regulatory revisions, identifying affected areas, modifying code, and creating and executing test cases. Fujitsu's proprietary "Multi-layer Quality Control" mechanism uses quality-audit agents trained on the tacit knowledge of experienced systems engineers to validate outputs from multiple perspectives at each stage.
- In a proof of concept for Japan's FY2024 medical reimbursement revision, Fujitsu completed in four hours a system modification that had previously required three person-months, or approximately 480 hours, demonstrating a 100-fold productivity gain.
- Beginning in January 2026, Fujitsu Japan started applying the platform to 67 packaged business applications—30 healthcare packages and 37 public-sector packages—totaling 150 mega-steps. By the end of FY2026, Fujitsu plans to expand its use to finance, manufacturing, distribution, and the public sector, and to offer it as a service for customers and partners.
- Fujitsu explicitly plans to replace person-month pricing with a model based on service value, combining a base fee with usage-based charges. It also redefines the engineer's role as an FDE (Forward Deployed Engineer) who supervises AI decisions and assures quality.

Exhibit 10: Fujitsu: AI-Driven Software Development Platform

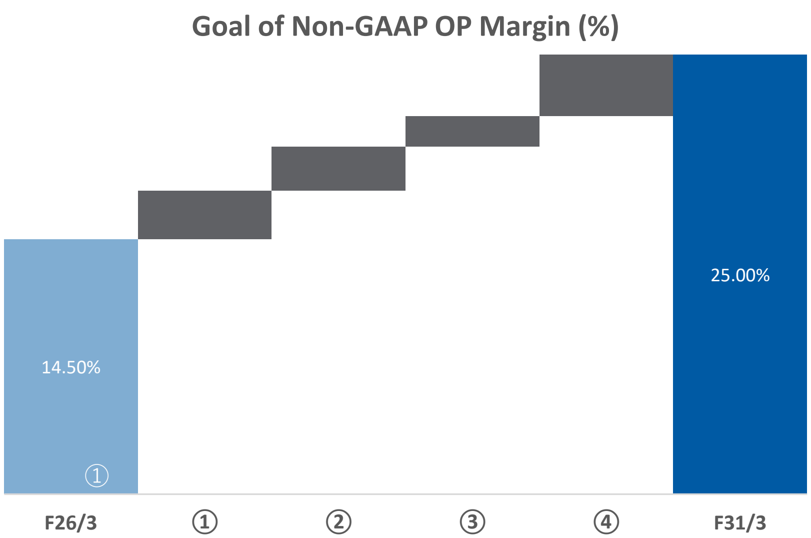


Source: Company Data, Morgan Stanley Research

NEC: Declaration to Become an “AI Native Company”

- “AX (AI Transformation)” applies AI to all approximately 30 BluStellar scenarios.
- NEC combines its Japanese-made LLM, cotomi, with global partnerships with other companies’ LLMs.
- Its “AI Platform Service” integrates more than 100 service capabilities.
- LLM “cotomi”: A lightweight design achieves performance comparable to large overseas models with approximately one-thirteenth the parameter count, enabling deployment on premises, in private clouds, or in public clouds.

Exhibit 11: NEC: Goal of Non-GAAP OP margin for BluStellar



Source: Company Data, Morgan Stanley Research

① Impact of value-added services and productivity improvements through consulting-led NEC BluStellar scenario

② Increase in incremental profit driven by revenue growth from NEC BluStellar Scenario

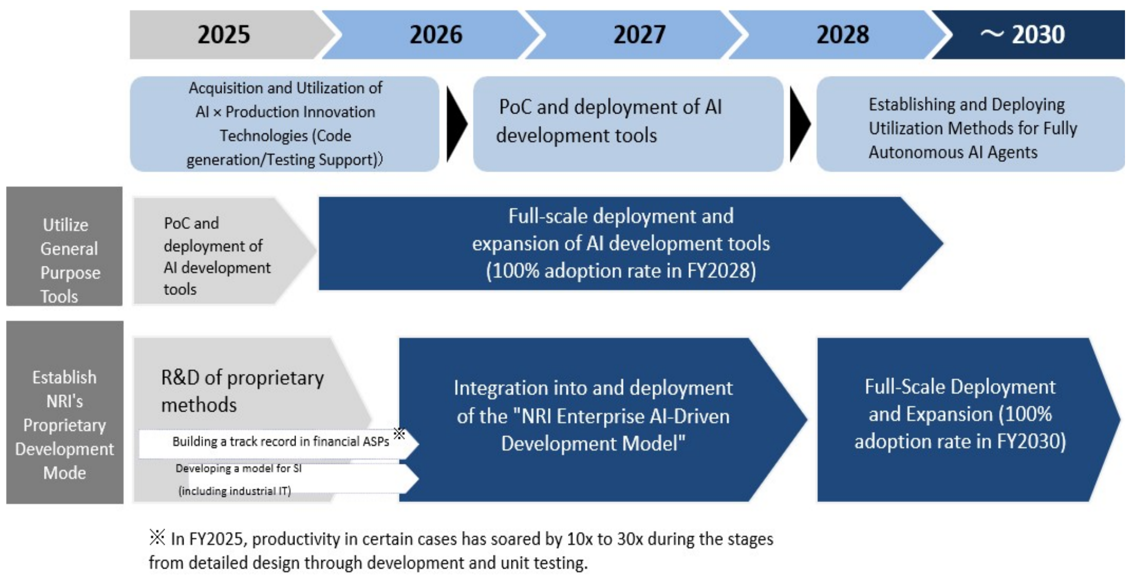
③ Expanded revenue and incremental profit driven by strengthened collaboration with NEC Group companies and sales partners

④ Impact of SG&A ratio improvement through AX

NRI: AI-Driven Development Model at Core of Production Innovation; Phased Rollout from 2025 to Fundamentally Transform Development Productivity and Profit Structure

- “NRI Enterprise AI-Driven Development Model”: Expands experience developed in financial services across the broader systems integration business, including industrial sectors.
- 2025–2026: Acquire and apply AI-enabled production-innovation technologies. This phase focuses on embedding AI in downstream development processes such as code generation and testing support. In financial ASP initiatives, some cases achieved productivity gains of 10 to 30 times across detailed design, development, and unit testing.
- 2026–2028: Rebuild the entire development model on an AI-first basis. NRI plans to fully adopt agent-based development, expand the use of AI development tools, and achieve a 100% adoption rate by FY2028.

Exhibit 12: NRI: AI-Driven development model



Source: Company Data, Morgan Stanley Research

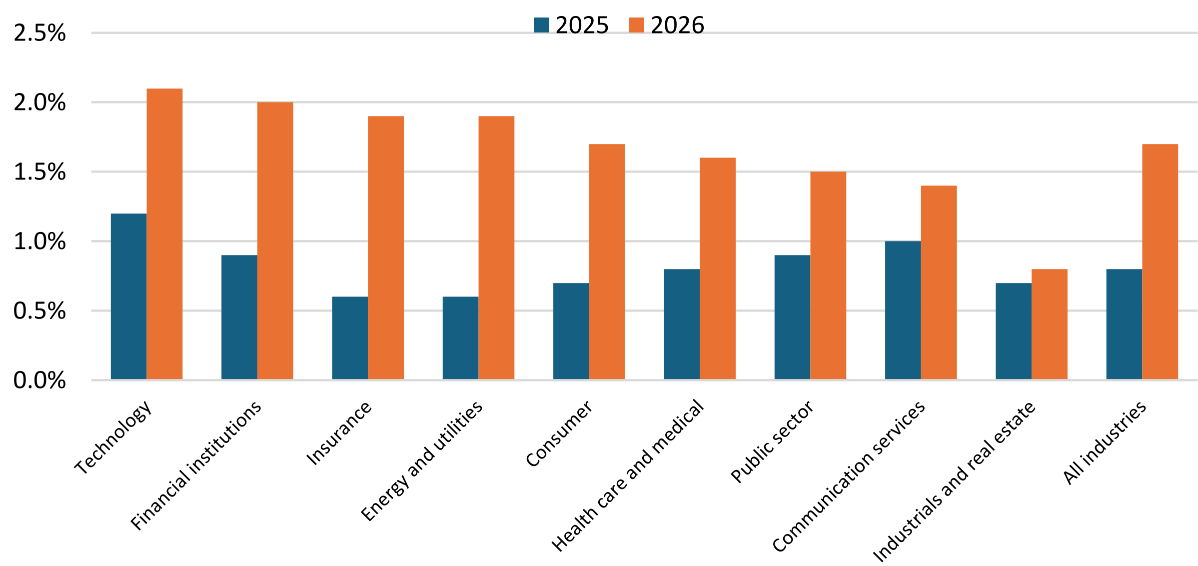
NTT Data: Leading in Both Theory and Practice of AI-Native Development; Targeting a 70% Reduction Across the Entire Development Process by Expanding Automation in Stages Toward 2030

- NTT Data began practical implementation in 2025 and achieved a 70% reduction in effort and an approximately threefold productivity gain for web application development, as well as a 50% reduction in effort for commercial database conversion.
- Company-wide targets: Apply generative AI to 500 projects in FY2025, with a 20% productivity improvement; raise the share of AI-enabled projects to 50% in FY2027, with a 40% productivity improvement; and reduce the overall development process by 70% in FY2030.
- Products: NTT Data announced and launched “LITRON Builder,” an agent-based AI development platform that provides a flexible development and usage environment aligned with corporate governance rules and security requirements.
- NTT Data targets cumulative sales of JPY 20 billion for the overall LITRON business by the end of FY2027 and JPY 1 trillion for its generative-AI-related businesses overall.

From Pilot to Scaling: Resolution of AI Implementation Bottlenecks Opens Next Growth Area for IT Services

- The wide gap between “recognition” and “implementation”: The importance of AI is widely recognized—88% of organizations use AI regularly, and 72% of CEOs serve as the final decision-maker—yet roughly two-thirds remain stuck at the pilot stage, and only 1% have reached “maturity.”
- Investment has surged, but ROI remains unproven.
- Bottleneck 1: Underdeveloped data foundations.
- Bottleneck 2: Lack of business-process redesign. Companies have not redesigned workflows to support AI adoption, so broader access to AI tools does not translate into results.
- Bottleneck 3: Structural shortage of AI talent.
- Bottleneck 4: Concerns about reliability and governance.
- Bottleneck 5: Structural issues specific to Japan, including outdated legacy systems.

Exhibit 13: Investment in AI as share of annual revenue



Source: BCG AI Radar 2026 Survey, Morgan Stanley Research

NRI (4307.T): Earnings forecasts

Exhibit 14: NRI (4307): Earnings forecast summary

Earnings summary (JPY mil)	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Revenue	611,634	692,165	736,556	764,813	195,770	201,295	205,268	212,375	814,708	206,092	210,594	215,891	225,891	858,469	901,108	944,746
YoY%	11%	13%	6%	4%	4%	7%	7%	8%	7%	5%	5%	5%	6%	5%	5%	5%
GP	216,071	239,829	261,006	275,295	71,571	76,446	76,052	76,082	300,151	76,375	81,030	81,067	82,054	320,527	340,959	362,201
YoY%	16%	11%	9%	5%	6%	14%	7%	9%	9%	7%	6%	7%	8%	7%	6%	6%
GPM	35%	35%	35%	36%	37%	38%	37%	36%	37%	37%	38%	38%	36%	37%	38%	38%
OP	106,218	111,832	120,411	134,907	37,246	41,553	39,981	(60,507)	58,273	43,880	46,491	47,866	47,438	185,674	205,851	227,255
YoY%	32%	5%	8%	12%	14%	26%	9%	-286%	-57%	18%	12%	20%	-178%	219%	11%	10%
OPM	17%	16%	16%	18%	19%	21%	19%	-28%	7%	21%	22%	22%	21%	22%	23%	24%
EBITDA	148,159	156,924	169,319	184,163	49,453	54,505	53,024	50,152	207,134	54,826	57,641	59,305	58,968	230,740	253,511	277,234
YoY%	22%	6%	8%	9%	10%	21%	9%	11%	12%	11%	6%	12%	18%	11%	10%	9%
EBITDA margin	24%	23%	23%	24%	25%	27%	26%	24%	25%	27%	27%	27%	26%	27%	28%	29%
Basic EPS	121	129	137	164	45	48	52	(119)	27	53	56	59	59	226	260	298
YoY%	36%	7%	6%	19%	18%	18%	13%	-409%	-84%	16%	17%	13%	-149%	750%	15%	15%
P/E (2yr fwd)	31.0	21.1	153.9	21.7	-	-	-	-	22.1	-	-	-	-	16.8	-	-
EV/EBITDA (2yr fwd)	15.4	11.3	11.9	12.4	-	-	-	-	12.7	-	-	-	-	9.9	-	-
ROE	21%	21%	20%	22%	-	-	-	-	4%	-	-	-	-	30%	34%	37%
Dividend payout ratio	32%	33%	35%	36%	-	-	-	-	259%	-	-	-	-	37%	36%	38%
Total payout ratio	116%	60%	121%	68%	-	-	-	-	456%	-	-	-	-	100%	93%	89%
OP by segment (JPY mil)	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Consulting	12,820	12,329	13,929	18,398	3,176	5,172	5,509	5,366	19,225	3,511	5,683	5,965	6,401	21,561	24,033	26,929
Finance IT service	43,877	49,710	54,651	61,581	17,634	18,441	18,672	19,507	74,255	20,673	21,021	21,550	20,725	83,970	91,365	99,136
Industrial IT solution	25,449	24,393	23,405	24,287	7,342	7,375	5,205	(94,539)	(74,616)	8,146	8,236	8,231	8,641	33,254	35,951	38,625
IT Platform Services	20,955	23,046	28,167	30,341	8,894	10,385	10,368	8,916	38,564	11,400	11,400	11,970	11,520	46,290	53,903	61,965
OPM																
Consulting	29%	26%	25%	28%	22%	30%	30%	29%	28%	22%	32%	30%	32%	29%	30%	30%
Finance IT service	14%	15%	15%	17%	18%	19%	18%	18%	18%	18%	18%	18%	17%	18%	18%	19%
Industrial IT solution	11%	9%	8%	9%	10%	10%	8%	-135%	-27%	14%	14%	14%	14%	14%	15%	15%
IT Platform Services	13%	14%	15%	15%	17%	19%	18%	15%	17%	19%	19%	19%	16%	18%	19%	20%
YoY%																
Consulting		-4%	13%	32%	14%	9%	3%	-3%	4%	11%	10%	8%	19%	12%	11%	12%
Finance IT service		13%	10%	13%	14%	25%	14%	30%	21%	17%	14%	15%	6%	13%	9%	9%
Industrial IT solution		-4%	-4%	4%	10%	-1%	-13%	-2387%	-407%	11%	12%	58%	-109%	-145%	8%	7%
IT Platform Services		10%	22%	8%	15%	73%	17%	15%	27%	28%	10%	15%	29%	20%	16%	15%
Order and order backlog (JPY mil)	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Total order	650,233	712,120	755,641	793,934	154,623	124,272	122,106	455,844	856,846	-	-	-	-	-	-	-
YoY%		10%	6%	5%	9%	1%	7%	10%	8%	-	-	-	-	-	-	-
Total order backlog	348,384	376,116	397,145	428,582	384,287	308,087	225,944	470,632	470,632	-	-	-	-	-	-	-
YoY%		8%	6%	8%	8%	7%	7%	10%	10%	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research, e = Morgan Stanley Research estimates

NEC (6701.T): Earnings forecasts

Exhibit 15: NEC (6701): Earnings forecast summary

Earnings summary (JPY mil)	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Revenue	3,014,095	3,313,018	3,477,262	3,423,431	715,658	854,121	852,538	1,160,416	3,582,733	716,285	833,701	845,465	1,116,583	3,512,034	3,659,850	3,807,299
YoY%	1%	10%	5%	-2%	4%	7%	2%	5%	5%	0%	-2%	-1%	-4%	-2%	4%	4%
GP	886,413	958,248	1,005,858	1,060,556	216,188	273,063	272,639	419,406	1,181,296	218,467	266,784	279,003	385,221	1,149,476	1,208,488	1,268,273
YoY%	3%	8%	5%	5%	14%	17%	-2%	17%	11%	1%	-2%	2%	-8%	-3%	5%	5%
GPM	29%	29%	29%	31%	30%	32%	32%	36%	33%	31%	32%	33%	35%	33%	33%	33%
Non-GAAP OP	-	197,049	227,580	311,301	39,995	87,494	82,382	187,363	397,234	46,541	96,120	102,501	181,198	426,360	467,504	512,230
YoY%	-	-	15%	37%	145%	80%	-15%	26%	28%	16%	10%	24%	-3%	7%	10%	10%
Non-GAAP OPM	-	6%	7%	9%	6%	10%	10%	16%	11%	6%	12%	12%	16%	12%	13%	13%
Basic EPS	104	85	112	132	14	40	52	96	203	21	46	48	88	202	220	244
YoY%	-7%	-18%	32%	17%	-431%	177%	19%	24%	54%	47%	13%	-8%	-9%	0%	9%	10%
P/E (2yr fwd)	10.1	7.5	8.5	14.0	-	-	-	-	20.6	-	-	-	-	15.8	-	-
EV/EBITDA (2yr fwd)	4.4	3.4	4.5	7.0	-	-	-	-	10.1	-	-	-	-	8.1	-	-
ROE	10%	7%	8%	9%	-	-	-	-	13%	-	-	-	-	12%	12%	12%
Dividend payout ratio	19%	25%	21%	20%	-	-	-	-	15%	-	-	-	-	21%	19%	18%
Total payout ratio	20%	52%	21%	20%	-	-	-	-	25%	-	-	-	-	21%	19%	18%
Non-GAAP OP by segment (JF	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Total IT services			185,600	268,000	36,700	78,900	80,100	141,000	335,800	43,916	78,620	85,001	144,698	352,235	388,073	427,421
IT domestic			-	243,900	30,100	70,800	69,600	134,500	302,200	36,600	69,750	74,500	132,000	312,850	347,060	384,790
DGDF			18,900	24,000	6,500	8,100	10,600	6,500	33,700	7,316	8,870	10,501	12,698	39,385	41,013	42,631
Social Infrastructure			32,800	63,700	9,800	18,800	8,400	46,500	83,400	13,625	28,500	28,500	57,500	128,125	133,431	138,809
Telecom			2,000	53,800	6,800	8,400	(6,000)	19,900	29,100	7,500	8,500	8,500	22,000	46,500	49,375	52,290
ANS			30,800	9,900	3,000	10,400	14,400	26,600	54,400	6,125	20,000	20,000	35,500	81,625	84,056	86,519
Adj. OPM																
Total IT services			8%	11%	7%	13%	13%	18%	13%	8%	13%	13%	17%	13%	14%	15%
IT domestic			0%	11%	7%	14%	13%	19%	14%	8%	13%	14%	18%	14%	15%	16%
DGDF			6%	7%	9%	10%	13%	7%	10%	9%	10%	11%	13%	11%	11%	11%
Social Infrastructure			4%	8%	6%	8%	4%	17%	9%	6%	10%	10%	18%	11%	12%	12%
Telecom			0%	13%	8%	9%	-7%	16%	8%	6%	6%	6%	12%	8%	8%	8%
ANS			8%	2%	3%	8%	11%	18%	11%	7%	14%	14%	24%	16%	16%	16%
YoY%																
Total IT services				44%	216%	77%	28%	6%	25%	20%	0%	6%	3%	5%	10%	10%
IT domestic				-	301%	71%	19%	8%	24%	22%	-1%	7%	-2%	4%	11%	11%
DGDF				27%	59%	153%	159%	-19%	40%	13%	10%	-1%	95%	17%	4%	4%
Social Infrastructure				94%	553%	84%	-69%	120%	31%	39%	52%	239%	24%	54%	4%	4%
Telecom				2590%	656%	56%	-121%	24%	-46%	10%	1%	-242%	11%	60%	6%	6%
ANS				-68%	400%	117%	-2500%	432%	449%	104%	92%	39%	33%	50%	3%	3%
Order YoY% by sector	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Domestic IT service				-	-3%	-5%	-1%	-2%	-3%	-	-	-	-	-	-	-
Public				-	7%	-1%	-8%	0%	0%	-	-	-	-	-	-	-
Enterprise				-	-11%	-11%	12%	-1%	-4%	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research, e = Morgan Stanley Research estimates

Fujitsu (6702.T): Earnings forecasts

Exhibit 16: Fujitsu (6702): Earnings forecast summary

Earnings summary (JPY mil)	F3/21	F3/22	F3/23	F3/24	F3/25	F3/26 1Q	F3/26 2Q	F3/26 3Q	F3/26 4Q	F3/26	F3/27 1Qe	F3/27 2Qe	F3/27 3Qe	F3/27 4Qe	F3/27e	F3/28e	F3/29e
Revenue	3,589,702	3,586,839	3,331,000	3,476,985	3,550,116	749,859	816,683	884,642	1,051,787	3,502,971	735,000	807,500	880,000	1,115,000	3,537,500	3,679,500	3,831,500
YoY%		0%	-7%	4%	2%	-1%	3%	3%	-8%	-1%	-2%	-1%	-1%	6%	1%	4%	4%
GP	1,080,248	1,118,651	1,144,082	1,117,989	1,167,978	249,425	286,856	316,196	394,390	1,246,867	253,360	290,551	327,543	456,080	1,327,533	1,437,698	1,558,262
YoY%		4%	2%	-2%	4%	9%	10%	11%	0%	7%	2%	1%	4%	16%	6%	8%	8%
GPM	30%	31%	34%	32%	33%	33%	35%	36%	37%	36%	34%	36%	37%	41%	38%	39%	41%
Adj. OP	-	-	243,400	265,364	307,265	35,119	86,208	107,836	161,426	390,589	38,500	72,600	121,550	191,500	424,150	475,605	531,488
YoY%				9%	16%	113%	74%	52%	-5%	27%	10%	-16%	13%	19%	9%	12%	12%
Adj. OPM				7.6%	8.7%	4.7%	10.6%	12.2%	15.3%	11.2%	5.2%	9.0%	13.8%	17.2%	12.0%	12.9%	13.9%
EBITDA	442,152	405,577	437,328	334,890	425,983	64,409	103,484	138,541	183,122	489,556	74,828	109,000	158,016	228,029	569,874	623,154	683,552
YoY%		-8%	8%	-23%	27%	21%	57%	32%	-9%	15%	16%	5%	14%	25%	16%	9%	10%
EBITDA margin	12%	11%	13%	10%	12%	9%	13%	16%	17%	14%	10%	13%	18%	20%	16%	17%	18%
Basic EPS	102	92	111	136	121	97	51	47	61	255	18	32	54	85	189	217	249
YoY%		-9%	20%	22%	-11%	953%	398%	62%	-16%	111%	-81%	-37%	16%	40%	-26%	15%	15%
P/E (2yr fwd)	13.4	15.4	15.0	8.6	15.8	-	-	-	-	17.7	-	-	-	-	14.0	-	-
EV/EBITDA (2yr fwd)	6.2	11.1	7.4	7.7	9.0	-	-	-	-	9.8	-	-	-	-	7.8	-	-
ROE	15%	12%	14%	15%	13%	-	-	-	-	24%	-	-	-	-	16%	17%	18%
Divdend payout ratio	20%	23%	21%	19%	23%	-	-	-	-	11%	-	-	-	-	32%	29%	28%
Total payout ratio	30%	50%	91%	59%	104%	-	-	-	-	49%	-	-	-	-	79%	71%	66%
Adj. OP by segment (JPY mil)	**F3/21**	**F3/22**	**F3/23**	**F3/24**	**F3/25**	**F3/26 1Q**	**F3/26 2Q**	**F3/26 3Q**	**F3/26 4Q**	**F3/26**	**F3/27 1Qe**	**F3/27 2Qe**	**F3/27 3Qe**	**F3/27 4Qe**	**F3/27e**	**F3/28e**	**F3/29e**
Service solutions			162,900	237,200	289,967	47,842	71,780	96,478	145,300	361,400	55,600	80,400	121,350	175,500	432,850	482,925	537,488
Hardware solutions			112,600	83,600	61,300	1,337	11,188	24,475	30,012	67,012	2,500	10,000	18,000	32,000	62,500	63,480	64,400
Ubiquitous solutions			8,600	24,200	31,372	8,241	13,503	9,656	7,425	38,825	5,400	7,200	7,200	9,000	28,800	29,200	29,600
Adj. OPM																	
Service solutions			8%	11%	13%	9%	13%	16%	21%	15%	10%	14%	19%	24%	17%	18%	19%
Hardware solutions			10%	8%	5%	1%	5%	10%	9%	7%	1%	5%	8%	9%	6%	7%	7%
Ubiquitous solutions			3%	9%	12%	17%	21%	15%	14%	17%	18%	18%	18%	18%	18%	18%	19%
YoY%																	
Service solutions				46%	22%	37%	34%	32%	13%	25%	16%	12%	26%	21%	20%	12%	11%
Hardware solutions				-26%	-27%	-136%	65%	123%	-36%	9%	87%	-11%	-26%	7%	-7%	2%	1%
Ubiquitous solutions				181%	30%	84%	98%	7%	-33%	24%	-34%	-47%	-25%	21%	-26%	1%	1%
Order yoy % by seg	**F3/21**	**F3/22**	**F3/23**	**F3/24**	**F3/25**	**F3/26 1Q**	**F3/26 2Q**	**F3/26 3Q**	**F3/26 4Q**	**F3/26**	**F3/27 1Qe**	**F3/27 2Qe**	**F3/27 3Qe**	**F3/27 4Qe**	**F3/27e**	**F3/28e**	**F3/29e**
Fujitsu Japan + standalone			107%	116%	105%	101%	105%	106%	95%	102%	-	-	-	-	-	-	-
Private Enterprise Business			106%	107%	106%	97%	97%	107%	101%	101%	-	-	-	-	-	-	-
Finance Business			105%	115%	114%	119%	86%	82%	92%	94%	-	-	-	-	-	-	-
Public & Healthcare			106%	119%	98%	96%	125%	95%	109%	105%	-	-	-	-	-	-	-
Mission Critical and others			115%	127%	111%	114%	103%	152%	70%	102%	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research, e = Morgan Stanley Research estimates

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley MUFG Securities Co., Ltd. and its affiliates (collectively, "Morgan Stanley").

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Tetsuro Tsusaka, CFA.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Baycurrent, BIPROGY, freee, Fujitsu, Nomura Research Institute, NS Solutions, Oracle Corporation Japan, RAKUS, Sansan, Shift, TISI, Trend Micro.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of NEC.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from NEC, OBIC.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from BIPROGY, freee, Fujitsu, Money Forward, NEC, Nomura Research Institute, NS Solutions, OBIC, OBIC Business Consultants, OTSUKA, RAKUS, Sansan, Shift, TISI, Trend Micro.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Fujitsu.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: BIPROGY, freee, Fujitsu, Money Forward, NEC, Nomura Research Institute, Shift, TISI, Trend Micro.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Fujitsu, NEC, Nomura Research Institute, Trend Micro.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix. Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited

INDUSTRY COVERAGE: IT & Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Luyuan Yang, CFA		
Appier Group (4180.T)	E (10/23/2024)	¥903
Baycurrent (6532.T)	E (01/22/2026)	¥6,692
BIPROGY (8056.T)	E (01/22/2026)	¥4,567
Money Forward (3994.T)	E (06/25/2025)	¥4,935
NS Solutions (2327.T)	U (04/01/2026)	¥3,775
OBIC (4684.T)	E (01/22/2026)	¥4,161
OBIC Business Consultants (4733.T)	O (01/22/2026)	¥6,543
Oracle Corporation Japan (4716.T)	E (01/22/2026)	¥8,680
OTSUKA (4768.T)	O (04/01/2026)	¥2,894

RAKUS (3923.T)	E (04/01/2026)	¥1,037
Sansan (4443.T)	E (10/23/2024)	¥1,723
TISI (3626.T)	E (01/22/2026)	¥3,428
Trend Micro (4704.T)	U (01/22/2026)	¥6,277
Tetsuro Tsusaka, CFA		
freee (4478.T)	E (09/25/2024)	¥2,250
Fujitsu (6702.T)	O (01/22/2026)	¥3,347
NEC (6701.T)	O (04/01/2026)	¥4,333
Nomura Research Institute (4307.T)	O (01/22/2026)	¥4,979
Shift (3697.T)	E (11/29/2022)	¥677

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.